

find research that measures the departure rate of CEOs of large listed companies after a major scandal. if possible, include studies that include analysis of Australian CEO departures

Key studies on CEO departure after scandals

Below are research sources that quantify CEO turnover following major misconduct or scandal events, plus options relevant to Australian contexts.

Empirical estimates of CEO departure rates after scandals

Study / setting	Misconduct / scandal type	CEO departure rate / effect size	Citations
Agrawal & Cooper (U.S. public firms, 518 earnings-decreasing restatements, 1997–2002)	Accounting scandals (earnings-decreasing restatements)	CEOs at restating firms are ≈ 14 percentage points more likely to be replaced over the 3-year window around the restatement than matched controls; this is $\approx 42\%$ higher than “normal” CEO turnover probabilities (Agrawal & Cooper, 2015)	(Agrawal & Cooper, 2015)
Gao, Guo & Yao (S&P 1500, 2000–2018)	Financial restatements and ethical issues	Confirms a positive relationship between financial restatements and CEO dismissals , with stronger effects in recent years and when financial performance is poor (Gao et al., 2024)	(Gao et al., 2024)
Çolak, Korkeamäki & Meyer (global sample)	ESG-related stakeholder incidents (environmental, social, governance)	The likelihood of CEO turnover increases significantly when media coverage of ESG incidents reaches “extreme” levels, even when there is no stock price decline, indicating reputational drivers of dismissal (Çolak et al., 2023)	(Çolak et al., 2023)
Janney & Gove (U.S., 2006 stock-option backdating scandal)	Stock-option backdating scandal	Examines 236 C-suite departures at implicated firms; focuses on market reaction rather than base rates, but shows CEO/CFO departures are common mechanisms used to mark the “end” of the scandal (Janney & Gove, 2019)	
Gangloff et al., “Of Scapegoats and Signals” (U.S.)	Material financial misrepresentation (restatements)	Event study of CEO successions after restatements; shows boards frequently use CEO turnover as scapegoating or signaling mechanisms to manage	

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		investor reaction, implying elevated CEO departure incidence in the restatement sample vs. baseline (Gangloff et al., 2016)	
Çolak et al., “ESG and CEO turnover around the world”	Global	Documents that CEO turnovers occur worldwide in response to severe ESG incidents, especially in stakeholder-oriented countries, giving a cross-country estimate of scandal-linked turnover likelihood (Çolak et al., 2023)	

FIGURE 1 Selected evidence on CEO turnover following major corporate misconduct

Broad data resources on CEO departures

- Gentry et al. provide an **open-source database of all CEO departures and dismissals in S&P 1500 firms (2000–2018)**, with eight detailed departure classifications and narrative reasons, which can be used to identify and compute departure rates after scandals (e.g., restatements, lawsuits, regulatory actions) (Gentry et al., 2021).
- Gao, Guo & Yao build on this database and explicitly link CEO dismissals to restatement events and board features (Gao et al., 2024).

These datasets enable calculation of hazard rates and excess turnover probabilities conditional on various scandal types.

Australian-relevant evidence

- Gao, Guo & Yao publish in the **Australian Accounting Review** and include authors from the University of Queensland and Griffith University, but their empirical setting is S&P 1500 U.S. firms; they do not provide Australian CEO departure rates (Gao et al., 2024).
- Mathew et al. conduct a **scoping review of CEO turnover in health and non-health organizations**, including Australian healthcare executives, but do not quantify scandal-specific departure rates for large listed companies; reasons for departure are grouped into organizational, performance, and personal rather than “scandal-driven” per se (Mathew et al., 2024).
- Zhang analyzes **director departures around SEC noncompliance events**; this is U.S.-focused, but offers a model for examining abnormal departure rates around wrongdoing events (Zhang, 2025).

At present, none of these studies report a dedicated, quantitative “**CEO departure rate after major scandals**” for Australian listed companies. For Australian-specific evidence, likely strategies are:

- Use local enforcement/event data (e.g., ASIC actions, ASX announcements) and manually link to CEO turnover in commercial databases, following the restatement-event designs used in U.S. work (Agrawal & Cooper, 2015; Gao et al., 2024).
- Extend the ESG-incident methodology of Çolak et al. to an Australia-only subsample to derive local incident-conditional turnover probabilities (Çolak et al., 2023).

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